Grupo Bimbo, S.A.B. de C.V.

Sustainable1

SURVEY RESPONDENT **Methodology Year:** 2023 **GICS Sector:** Consumer Staples **ESG Score Industry:** FOA Food Products

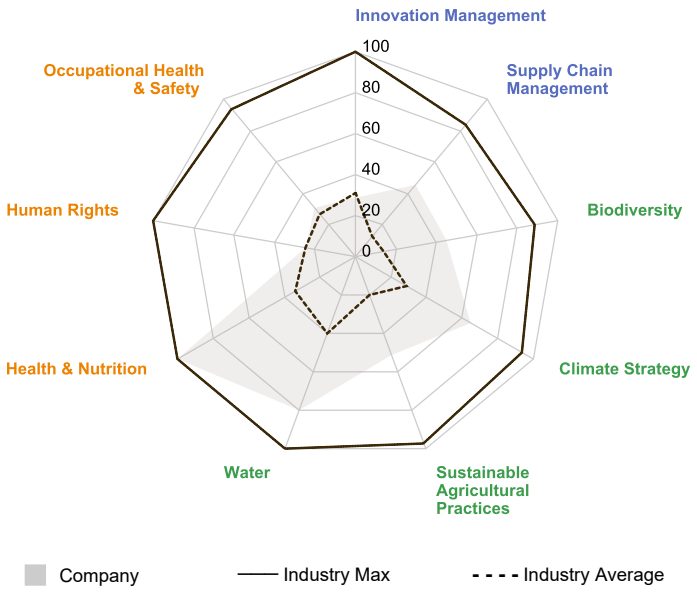
Grupo Bimbo, S.A.B. de C.V., together with its subsidiaries, produces, distributes, and sells various bakery products. It offers sliced bread, buns and rolls, pastries, cakes, cookies, toast, English muffins, bagels, tortillas and flatbreads, and salty snacks. The company provides its products under various brands. It operates bakeries and other plants in Mexico, the United States, Europe, Asia, and Africa. Grupo Bimbo, S.A.B. de C.V. was founded in 1945 and is headquartered in Mexico City, Mexico.

The ESG Score of Grupo Bimbo, S.A.B. de C.V. is 55 out of 100. The score is most heavily weighted to Social Dimension, followed by Environmental Dimension and finally Governance & Economic Dimension.

Compared to the previous year, the disclosure based CSA Score is 52 which is lower by 1 points. The most material drivers by weight are Supply Chain Management, Corporate Governance, Occupational Health & Safety.

Company Performance - ESG Score

S&P Global has selected the most relevant criteria in each dimension based on their weight in the assessment and their current or expected significance for the industry.



S&P Global ESG Score

55/100

Data Availability: **Very High**

Last updated: October 27, 2023

Updated annually or in response to major developments

Score breakdown

ESG Score | Industry ESG Score Average

Environmental

CSA Score 65 | ESG Score 68 | Industry Average 28

Social

CSA Score 47 | ESG Score 51 | Industry Average 30

Governance & Economic

CSA Score 45 | ESG Score 46 | Industry Average 28

S&P Global CSA Score, without modeling

52/100

Industry CSA Score Average **22**/100

Modeled score contribution

+3

Modeling is used to fill gaps in reporting

Survey Respondent

This company is a Corporate Sustainability Assessment ("CSA") survey respondent. Its ESG Score is based on the company's responses to the S&P Global Corporate Sustainability Assessment ("CSA"), information available in the public domain and modeling approaches. The CSA focuses on the quality of company disclosures as well as past and current performance on ESG issues.

Controversies Summary

Grupo Bimbo, S.A.B. de C.V.'s ESG Score has been impacted by controversies.

Controversy Impact Rating	Number of cases
Severe	0
Major	0
Medium	0
Minor	1

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Disclosure Analysis

S&P Global ESG Scores are built using public data, in addition to documents companies submit that may/may not be available in the public domain. The disclosure analysis tool is used to identify a company's overall disclosure transparency between questions that require public information (CSA Required Public Disclosure questions) or questions that allow for additional disclosure to what the CSA expects to be publicly available (CSA Additional Disclosure). Importantly, the CSA measures performance, not solely disclosure, and while a company may disclose data exhaustively, they may not perform well. This is captured by the difference in the "Potential Score Based on Disclosure" and the "Actual Score Based on Disclosure" which represents S&P Global's opinion on the performance of the disclosed information.
Grupo Bimbo, S.A.B. de C.V.'s data availability is very high within the FOA Food Products industry, as it made available 78% and 81% of the required and additional disclosures.

CSA Required Public Disclosure

Evidence used to corroborate company performance in the CSA must be publicly available to score any points.

CSA Additional Disclosure

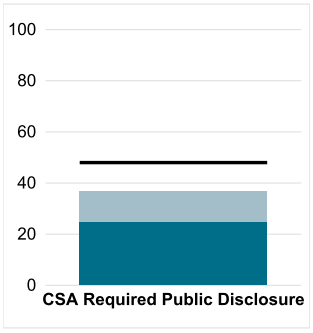
Company disclosure that is additional to what the CSA expects to be publicly available. Corroborating evidence need not be publicly disclosed.

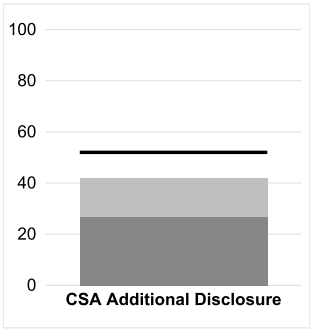
Modeled Scores

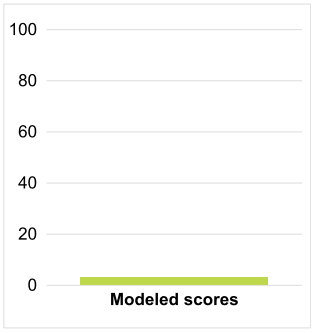
A modeled proxy measurement of a company's ESG performance in the absence of disclosed underlying data. Modeled Scores take a light-touch approach and represent the contribution to the total ESG Score where the ESG Scores have been modeled in the absence of disclosed underlying data. Companies that champion transparency and disclosure will have lower values for modeled scores whereas companies that do not disclose publicly or through the CSA will have greater modeling included. This approach effectively minimizes data gaps by imputing values, providing a more robust and useful dataset in absence of disclosed data by a company.

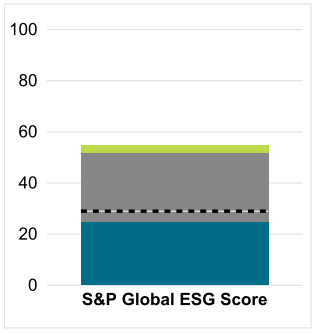
ESG Score Contribution

CSA Required Public Disclosure	25	CSA Additional Disclosure	27	Modeled Scores	3	**S&P Global ESG Score**	55









CSA Required Public Disclosure	CSA Additional Disclosure	Modeled Score Contribution	Industry Score Average
Potential Score Contribution	Potential Score Contribution		
Max Industry Score	Max Industry Score		
Disclosure Rate **78%**	Disclosure Rate **81%**		Updated Annually As of 10/27/2023
Data Availability Relative to Peers **Very High**	Data Availability Relative to Peers **Very High**		
Maximum Industry Score **48**	Maximum Industry Score **52**	Questions based on modeling approaches vary by industry	
Potential Score based on Disclosure **37**	Potential Score based on Disclosure **42**		
Actual Score based on Disclosure **25**	Actual Score based on Disclosure **27**		

S&P Global CSA Score = 52 (Incl. MSA Adjustment) + **Modeled Score = 3** ▶ **S&P Global ESG Score = 55**/100

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SURVEY RESPONDENT **Methodology Year:** 2023 **GICS Sector:** Consumer Staples **ESG Score Industry:** FOA Food Products

Industry Drivers

Changes in the food products industry continue to be driven by a growing middle class in emerging economies. The shock caused by COVID-19 resulted in disruption to the entire value chain and redefined key trends within the industry. Sustainable and natural ingredients, along with convenience and nutrition, remain key drivers. Supply chains continue to face disruptions cause by factors such as political conflicts and the resulting energy crisis, leading to continued price increases for food products. To avoid this, food product producers must review existing supply chain strategies and address inefficiencies in their value chains, such as food loss and waste. Furthermore, companies in the food products industry are facing increasing reputational risks by failing to effectively monitor their indirect supply chains and are expected to uphold commitments to eliminate the environmental and social impacts of their agricultural commodity supply chains, such as preventing destruction of natural habitats, promoting biodiversity in existing food systems and respecting human rights.

Industry Overview

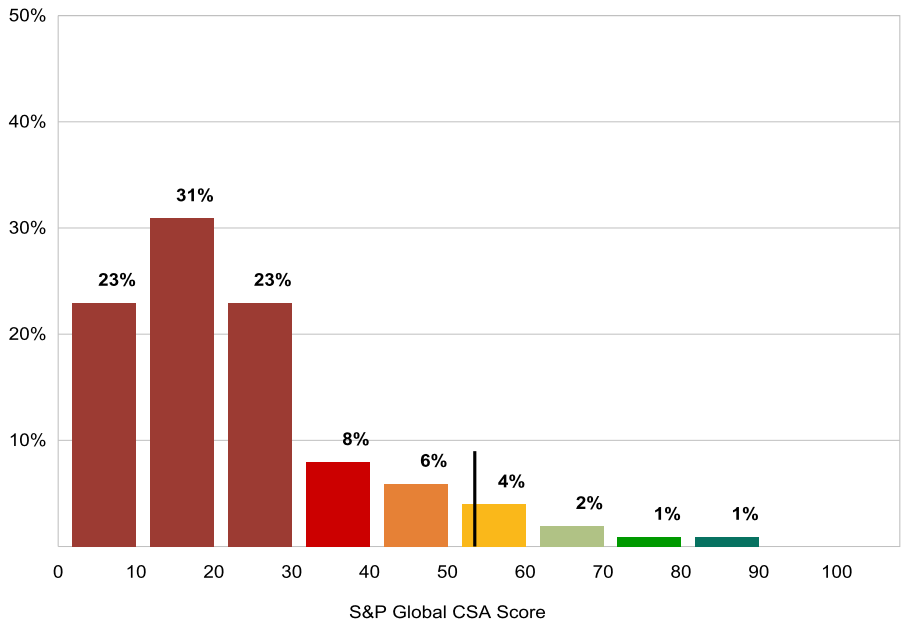
	Total CSA Score	Environmental Dimension	Social Dimension	Goverance & Economic Dimension
Mitr Phol Sugar Corporation., Ltd.	**85**	88	87	80
Charoen Pokphand Foods Public Company Limited	**83**	85	86	76
Thai Union Group Public Company Limited	**81**	86	86	70
...				
Vitasoy International Holdings Limited	**55**	64	51	50
Grupo Bimbo, S.A.B. de C.V.	**52**	**65**	**47**	**45**
Hilton Food Group plc	**51**	53	46	55

Industry Materiality Overview

	Weight (% Total)	Company CSA Score	Industry Average	Industry Max Score
Occupational Health & Safety	6	31	24	94
Supply Chain Management	6	47	11	84
Climate Strategy	5	59	23	94
Health & Nutrition	5	100	14	100
Human Rights	5	25	20	100

Industry Score Distribution

The percentage of companies in the industry that have a score within the score distribution.



S&P Global ESG Score

The S&P Global ESG Score measures a company's performance on and management of material ESG risks, opportunities, and impacts informed by a combination of company disclosures, media and stakeholder analysis, modelling approaches, and in-depth company engagement via the S&P Global Corporate Sustainability Assessment (CSA). The S&P Global ESG Score is a relative score measuring a company's performance on and management of ESG risks, opportunities, and impacts compared to their peers within the same industry classification. The S&P Global ESG Score uses a double materiality approach whereby a sustainability issue is considered to be material if it presents a significant impact on society or the environment and a significant impact on a company's value drivers, competitive position, and long-term shareholder value creation.

S&P Global CSA Score

The S&P Global Corporate Sustainability Assessment (CSA) Score is the S&P Global ESG Score without the inclusion of any modelling approaches.

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SURVEY RESPONDENT **Methodology Year:** 2023 **GICS Sector:** Consumer Staples **ESG Score Industry:** FOA Food Products

Criteria Scorecard

Criteria	CSA Score	Percentile	Industry Average Score	Industry Max Score	Weight %
Total Score	**52**	**92**	**22**	**85**	**100**
Environmental Dimension	**65**	**95**	**21**	**88**	**33**
Environmental Policy & Management Systems	73	93	31	97	3
Emissions	96	98	36	100	3
Resource Efficiency and Circularity	70	94	20	100	5
Waste	100	100	32	100	1
Water	80	96	17	100	5
Climate Strategy	59	85	23	94	5
Biodiversity	28	88	8	89	4
Food Loss & Waste	61	94	16	100	3
Sustainable Agricultural Practices	52	89	18	97	4
Social Dimension	**47**	**90**	**21**	**87**	**34**
Labor Practice Indicators	59	94	24	94	6
Human Rights	25	68	21	100	5
Human Capital Development	50	70	36	100	4
Talent Attraction & Retention	43	92	14	90	5
Occupational Health & Safety	31	69	24	94	6
Health & Nutrition	100	100	14	100	5
Customer Relationship Management	5	76	11	100	3
Governance & Economic Dimension	**45**	**90**	**24**	**83**	**33**
Transparency & Reporting	88	92	39	100	2
Corporate Governance	33	37	40	85	6
Materiality	56	87	26	99	2
Risk & Crisis Management	23	80	15	84	4
Business Ethics	82	98	39	96	4
Policy Influence	36	90	9	100	2
Supply Chain Management	47	95	11	84	6
Tax Strategy	21	49	28	100	2
Information Security/ Cybersecurity & System Availability	45	86	19	100	2
Innovation Management	29	86	11	100	3

Dimension Level Scores

The weighted score of all aggregated criteria level scores within one of the Dimensions (Environmental, Social or Governance & Economic).

Criteria Level Scores

Criteria level scores represent the significant material ESG themes within industries, which roll up into the three dimension level scores based on S&P Global's materiality-weighted scoring framework. There are approximately 15-30 criteria per industry, consisting of both general themes applicable across industries (such as Corporate Governance, Climate Strategy, Labor Practice indicators, among others), and industry-specific themes (such as Sustainable Finance, Electricity Generation, Social Impact on Communities, Passenger Safety, among others).

Comparison to Industry

Percentile ranking, industry average and industry max scores are calculated based on the industry. Related statistics may include a mix of current and past assessment year scores. All values are on a scale from 0 to 100 (max).

Weights

For each industry, our scores prioritize ESG factors based on their expected magnitude (degree of impact) and the likelihood of their impact (probability and timing of impact) on a company's financial standing, according to growth, profitability, capital efficiency, and risk measures. Factors are additionally assessed according to their overall impact and importance on stakeholder and the natural environment. For each row, weights are shown as a percentage of the total weight of 100.

MSA Impact: The score displayed here reflects a negative score impact as a result of our Media & Stakeholder Analysis (MSA). For more detailed information about the MSA and the score impact at criterion and total score level, please refer to dedicated "Media & Stakeholder Analysis (MSA) - Controversies" section in this report.

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Media & Stakeholder Analysis (MSA): Controversies

The Media & Stakeholder Analysis (MSA)* is an ongoing screening of company controversies that may have financial or reputational impacts on companies assessed in the Corporate Sustainability Assessment (CSA).

Impact Summary	MSA Score Impact (out of 100)
Total Score Impact	**-0.46**
Environmental Dimension	**0.0**
Social Dimension	**0.0**
Governance & Economic Dimension	**-1.4**
Risk & Crisis Management	-2.52
Business Ethics	-9.06

	MSA Impact Rating			
	Severe	Major	Medium	Minor
Environmental	-	-	-	-
Social	-	-	-	-
Governance & Economic	-	-	-	1
Total number of unique cases	-	-	-	1

Case Name Subsidiary's involvement in bread price-fixing in Canada

Impact Rating	Minor
Company Response Rating	Adequate communication, appropriate measures
Impacted Criteria	Business Ethics, Risk & Crisis Management

Case Description

In June 2023, the Ontario Superior Court imposed a fine of USD 50 million on Canada Bread Company Ltd., a subsidiary of Grupo Bimbo SAB de CV, for engaging in price fixing of fresh commercial bread. This fine is reported to be the highest ever imposed by a Canadian court. The company pleaded guilty to four counts of price fixing, which violated the Competition Act.

Canada Bread acknowledged its involvement in the scheme. Reportedly, an executive at Canada Bread conspired with another executive of a competitor company, Weston Foods (Canada) Inc., to artificially raise the prices of various bread products, including sandwich bread, hotdog buns and rolls. These actions resulted in two price increases in 2007 and 2011. Fixing the price of bread, a staple food in Canadian households, constituted a serious criminal offense. At the time of the incident, Canada Bread was owned by Maple Leaf Foods, but it was acquired by Grupo Bimbo in 2014. Canada Bread received a reduced sentence due to its complete cooperation with the Competition Bureau's investigation, in line with the Leniency Program under the Competition Act. The authorities said that the executive at Canada Bread responsible for the price-fixing scheme is no longer with the company.

TOTAL

-0.46 points lost on total CSA score due to 1 case(s)

ENVIRONMENTAL

0.0 points lost on dimension score due to 0 case(s)

SOCIAL

0.0 points lost on dimension score due to 0 case(s)

GOVERNANCE & ECONOMIC

-1.4 points lost on dimension score due to 1 case(s)

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SURVEY RESPONDENT **Methodology Year:** 2023 **GICS Sector:** Consumer Staples **ESG Score Industry:** FOA Food Products

Question Scorecard

Criteria Questions	ESG Scores	CSA Scores	Weight %	Weighted CSA Score
Environmental Dimension	**68**		**33**	**21**
Environmental Policy & Management Systems	**73**	**73**	**3**	**2**
Environmental Policy & Commitments	86	86	20	0.5
Coverage of Environmental Management Policy	80	80	30	0.7
EMS: Certification/ Audit/ Verification	70	70	30	0.6
Environmental Violations	55	55	20	0.3
Emissions	**96**	**96**	**3**	**3**
Direct Greenhouse Gas Emissions (Scope 1)	100	100	34	1
Indirect Greenhouse Gas Emissions (Scope 2)	100	100	34	1
Indirect Greenhouse Gas Emissions (Scope 3)	88	88	32	0.8
Resource Efficiency and Circularity	**70**	**70**	**5**	**4**
Energy Consumption	90	90	18	0.8
Packaging Commitment	64	64	28	0.9
Packaging Materials	64	64	27	0.9
Plastic Packaging	70	70	27	0.9
Waste	**100**	**100**	**1**	**1**
Waste Disposal	100	100	100	1
Water	**80**	**80**	**5**	**4**
Water Consumption	100	100	15	0.8
Water Consumption in Water-Stressed Areas	38	38	10	0.2
Business Impacts of Water Related Incidents	100	100	15	0.8
Exposure to Water Stressed Areas	Not applicable	NAP	N/A	N/A
Quantity & Quality-Related Water Risks	100	100	15	0.8
Water-Related Regulatory Changes & Pricing Structure	40	40	15	0.3
Exposure of Suppliers to Water Risks	100	100	15	0.8
Water Risks Management of Suppliers	70	70	15	0.5
Climate Strategy	**65**	**59**	**5**	**3**
Climate Governance	80	80	9	0.4
TCFD Disclosure	100	100	5	0.3
Climate-Related Management Incentives	20	20	7	0.1
Climate Risk Management	85	85	9	0.4
Financial Risks of Climate Change	70	70	10	0.3
Financial Opportunities Arising from Climate Change	100	100	10	0.5
Climate-Related Scenario Analysis	65	65	10	0.3
Physical Climate Risk Adaptation	28	0	5	0
Emissions Reduction Targets	60	60	15	0.4
Low-Carbon Products	46	0	10	0
Net-Zero Commitment	54	54	10	0.3
Biodiversity	**45**	**28**	**4**	**1**
Biodiversity Risk Assessment	41	0	20	0
Biodiversity Commitment	0	0	20	0
No Deforestation Commitment	67	67	15	0.4
Biodiversity Exposure & Assessment	36	0	25	0
Biodiversity Mitigating Actions	90	90	20	0.7
Food Loss & Waste	**61**	**61**	**3**	**2**
Food Loss & Waste Commitment	65	65	70	1.4
Food Loss & Waste Impact	52	52	30	0.5

Question Level Scores

Corporate data is collected through roughly 130 questions, found in general and industry-specific criteria. Points are assigned to companies through a pre-defined, transparent, and rules-based scoring system, weighted according to the relevance and materiality of underlying topics to financial outcomes to systematically generate weighting.

Weighted Score

The weighted score is a score multiplied by relevant weight. This indicates scores contribution to criteria or dimension score.

NAP definition

When a question receives an NAP score, indicating that the question is not applicable to the company, its weight is redistributed among other questions within the same criterion. If a criterion receives an NAP score, its weight is redistributed among other criteria within the same dimension.

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Criteria Questions	ESG Scores	CSA Scores	Weight %	Weighted CSA Score
Environmental Dimension	**68**		**33**	**21**
Sustainable Agricultural Practices	**52**	**52**	**4**	**2**
Sustainable Agriculture Commitment	100	100	30	1.2
Certifications of Agricultural Crops	16	16	20	0.1
Certifications of Animal Products	0	0	20	0
Animal Welfare Policy	100	100	15	0.6
Animal Welfare Disclosure	25	25	15	0.2

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Question Scorecard

Criteria/Questions	ESG Scores	CSA Scores	Weight %	Weighted CSA Score
Social Dimension	**51**		**34**	**16**
Labor Practice Indicators	**66**	**59**	**6**	**4**
Living Wage Commitment	19	0	10	0
Living Wage Methodology	51	0	10	0
Discrimination & Harassment	100	100	15	0.9
Workforce Breakdown: Gender	72	72	21	0.9
Workforce Breakdown: Race/ Ethnicity & Nationality	60	60	12	0.4
Gender Pay Indicators	48	48	20	0.6
Freedom of Association	100	100	12	0.7
Human Rights	**25**	**25**	**5**	**1**
Human Rights Commitment	100	100	25	1.3
Human Rights Due Diligence Process	0	0	25	0
Human Rights Assessment	0	0	25	0
Human Rights Mitigation & Remediation	0	0	25	0
Human Capital Development	**50**	**50**	**4**	**2**
Training & Development Inputs	100	100	35	1.4
Employee Development Programs	44	44	35	0.6
Human Capital Return on Investment	0	0	30	0
Talent Attraction & Retention	**43**	**43**	**5**	**2**
Hiring	60	60	10	0.3
Type of Performance Appraisal	42	42	10	0.2
Long-Term Incentives for Employees	0	0	20	0
Employee Support Programs	18	18	20	0.2
Employee Turnover Rate	54	54	20	0.5
Trend of Employee Wellbeing	90	90	20	0.9
Occupational Health & Safety	**31**	**31**	**6**	**2**
OHS Policy	66	66	12	0.5
OHS Programs	80	80	24	1.2
Fatalities	17	17	25	0.3
Lost-Time Injury Frequency Rate (LTIFR) - Employees	0	0	22	0
Lost-Time Injury Frequency Rate (LTIFR) - Contractors	0	0	17	0
Health & Nutrition	**100**	**100**	**5**	**5**
Development of Health & Nutrition Strategy	100	100	34	1.7
Health & Nutrition Reformulation	100	100	33	1.6
Marketing Self-Regulation on Health & Nutrition	100	100	33	1.6
Customer Relationship Management	**35**	**5**	**3**	**0**
Online Strategies & Customers Online	64	0	46	0
Customer Satisfaction Measurement	10	10	54	0.2

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Question Scorecard

Criteria/Questions	ESG Scores	CSA Scores	Weight %	Weighted CSA Score
Governance & Economic Dimension	**46**		**33**	**15**
Transparency & Reporting	**88**	**88**	**2**	**2**
Sustainability Reporting Boundaries	75	75	40	0.6
Sustainability Reporting Assurance	100	100	40	0.8
Sustainability Taxonomies	Not applicable	NAP	N/A	N/A
Corporate Governance	**36**	**33**	**6**	**2**
Board Independence	100	100	4	0.2
Board Type	0	0	8	0
Non-Executive Chairperson/ Lead Director	0	0	6	0
Board Diversity Policy	0	0	7	0
Board Gender Diversity	59	59	14	0.5
Board Effectiveness	40	40	7	0.2
Board Average Tenure	100	100	6	0.4
Board Industry Experience	59	59	6	0.2
CEO Compensation - Success Metrics	0	0	6	0
CEO Compensation - Long-Term Performance Alignment	0	0	6	0
Management Ownership	32	0	6	0
Management Ownership Requirements	0	0	6	0
Government Ownership	100	100	8	0.5
Family Ownership	0	0	5	0
CEO-to-Employee Pay Ratio	36	0	5	0
Materiality	**56**	**56**	**2**	**1**
Materiality Analysis	50	50	20	0.2
Material Issues for Enterprise Value Creation	50	50	25	0.3
Materiality Metrics for Enterprise Value Creation	57	57	25	0.3
Material Issues for External Stakeholders	78	78	15	0.2
Materiality Metrics for External Stakeholders	48	48	15	0.1
Risk & Crisis Management	**23**	**23**	**4**	**1**
Risk Governance	0	0	30	0
Risk Management Processes	55	55	29	0.6
Emerging Risks	0	0	12	0
Risk Culture	32	32	29	0.4
Business Ethics	**82**	**82**	**4**	**3**
UN Global Compact Membership	100	100	10	0.4
Codes of Conduct	100	100	25	1
Corruption & Bribery	80	80	25	0.8
Codes of Conduct: Systems/ Procedures	78	78	20	0.6
Reporting on breaches	100	100	20	0.8
Policy Influence	**51**	**36**	**2**	**1**
Contributions & Other Spending	34	0	45	0
Largest Contributions & Expenditures	100	100	35	0.7
Lobbying and Trade Associations - Climate Alignment	7	7	20	0
Supply Chain Management	**47**	**47**	**6**	**3**
Supplier Code of Conduct	93	93	10	0.6
Supplier ESG Program	0	0	20	0
Supplier Screening	22	22	15	0.2
Supplier Assessment and Development	75	75	20	0.9

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Criteria/Questions	ESG Scores	CSA Scores	Weight %	Weighted CSA Score
Governance & Economic Dimension	**46**		**33**	**15**
KPIs for Supplier Screening	60	60	15	0.5
KPIs for Supplier Assessment and Development	50	50	20	0.6
Tax Strategy	**21**	**21**	**2**	**0**
Tax Strategy and Governance	0	0	50	0
Tax Reporting	0	0	29	0
Effective Tax Rate	100	100	21	0.4
Information Security/ Cybersecurity & System Availability	**45**	**45**	**2**	**1**
IT Security/ Cybersecurity Governance	25	25	40	0.2
IT Security/ Cybersecurity Measures	80	80	30	0.5
IT Security/ Cybersecurity Process & Infrastructure	35	35	30	0.2
Innovation Management	**29**	**29**	**3**	**1**
R&D Spending	Not applicable	NAP	N/A	N/A
Open Innovation	70	70	30	0.6
Product Innovations	13	13	35	0.1
Process Innovations	10	10	35	0.1

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Glossary

S&P Global ESG Score

The S&P Global ESG Score measures a company's performance on and management of material ESG risks, opportunities, and impacts informed by a combination of company disclosures, media and stakeholder analysis, modeling approaches (prior to the 2023 CSA, the S&P Global ESG Score did not contain any modeling approaches), and in-depth company engagement via the S&P Global Corporate Sustainability Assessment (CSA). The S&P Global ESG Score is a relative score measuring a company's performance on and management of ESG risks, opportunities, and impacts compared to their peers within the same industry classification.
The S&P Global ESG Score uses a double materiality approach whereby a sustainability issue is considered to be material if it presents a significant impact on society or the environment and a significant impact on a company's value drivers, competitive position, and long-term shareholder value creation.

S&P Global CSA Score

The S&P Global Corporate Sustainability Assessment (CSA) Score is the S&P Global ESG Score without the inclusion of any modelling approaches.

Dimension Level Scores

The weighted score of aggregated criteria level scores within one of the Dimensions (Environmental, Social or Governance & Economic).

Criteria Level Scores

Criteria level scores represent the significant material ESG themes within industries, which roll up into the three dimension level scores based on S&P Global's materiality-weighted scoring framework. There are approximately 15-30 criteria per industry, consisting of both general themes applicable across industries (such as Corporate Governance, Climate Strategy, Labor Practice indicators, among others), and industry-specific themes (such as Sustainable Finance, Electricity Generation, Social Impact on Communities, Passenger Safety, among others).

Question Level Scores

Corporate data is collected through roughly 130 questions, found in general and industry-specific criteria. Points are assigned to companies through a predefined, transparent, and rules-based scoring system, weighted according to the relevance and materiality of underlying topics to financial outcomes to systematically generate weighting.

NAP Definition

When a question receives an NAP score, indicating that the question is not applicable to the company, its weight is redistributed among other questions within the same criterion. If a criterion receives an NAP score, its weight is redistributed among other criteria within the same dimension.

Weights

For each industry, our scores prioritize ESG factors based on their expected magnitude (degree of impact) and the likelihood of their impact (probability and timing of impact) on a company's financial standing, according to growth, profitability, capital efficiency, and risk measures. Factors are additionally assessed according to their overall impact and importance on stakeholder and the natural environment.

ESG Score Industry

Industry grouping applied in the Corporate Sustainability Assessment (CSA) as derived from the Global Industry Classification Standard (GICS). Industry designations determine the specific questions and weightings used for a company in the CSA. The Global Industry Classification Standard (GICS) GICS is an industry taxonomy developed by S&P Global and MSCI for use by the global financial community. The GICS structure consists of 11 sectors.

Assessment Type

Survey Respondent: Company is a Corporate Sustainability Assessment (CSA) survey respondent

Public Assessment: Company is NOT a Corporate Sustainability Assessment (CSA) survey respondent.

Double Materiality

We define an ESG issue as material if it presents a significant impact on society or the environment, and might have a significant impact on company's value drivers, competitive position, and long-term shareholder value creation. Material ESG issues can significantly affect an entity's business operations, cash flows, legal or regulatory liabilities, and access to capital. They can also significantly improve or undermine an entity's reputation and relationships with key stakeholders and society, as well as the environment. Over time, external impact on society and environment also translates into internal impact on a company itself, including its financial value drivers. These impacts may be direct or indirect, including ripple effects through the value chain, upstream or downstream. As such, S&P Global considers double materiality as an integral part of the analysis of corporate ESG performance.

Modeled Scores

In order to provide a more complete and holistic assessment of a company's sustainability performance, modeling approaches are applied and aggregated into the S&P Global ESG Score to address gaps in disclosure. The purpose of this modeling approach is to emulate the performance-based scoring that could have been applied if reported data were available. More than 40% of underlying questions in the CSA require publicly available data to score any points. No modeling is applied to questions where underlying data is required to be in the public domain, and therefore no points will be granted to a company should this information not be available. Another approximately 40% of questions in the CSA do not require information to be publicly disclosed to score points, but additional points are granted to companies that do so. If no information is disclosed by the company on such questions, the question-level score is modeled, excluding the points attributed for transparency.

S&P Global provides this level of transparency across disclosure and modeling approaches to ensure users of ESG Scores have access to the most pertinent data and analysis for their use cases.

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Glossary (cont.)

Disclosure Analysis (Transparency)

S&P Global ESG Scores are built using public data, in addition to documents companies submit that may/may not be available in the public domain. The disclosure analysis tool is used to identify a company's overall disclosure transparency between questions that require public information (CSA Required Public Disclosure questions) or questions that allow for additional disclosure to what the CSA expects to be publicly available (CSA Additional Disclosure). Importantly, the CSA measures performance, not solely disclosure, and while a company may disclose data exhaustively, they may not perform well. This is captured by the difference in the "Potential Score Based on Disclosure" and the "Actual Score Based on Disclosure" which represents S&P Global's opinion on the performance of the disclosed information.

CSA Required Public Disclosure

Evidence used to corroborate company performance in the CSA must be publicly available to score any points.

CSA Additional Disclosure

Company disclosure that is additional to what the CSA expects to be publicly available. Corroborating evidence need not be publicly disclosed.

For further reference, please see the following:

S&P Global CSA Handbook

S&P Global CSA Criteria Weights

S&P Global CSA Third-Party Assurance Statement

S&P Global Media & Stakeholder Analysis (MSA) Methodology

CSA – Invited Companies

S&P Global CSA Timeline

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Score Date: 10/27/2023

Report Creation Date: 04/16/2024

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